

South Asia's Great Power Competition

US-India-China and the New Asian Cold War

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Executive Summary

South Asia is an active theatre of great-power competition, with the US-China-India triangle as the defining axis. India's strategic posture — maintaining balance rather than full alignment with either Washington or Beijing — is the region's most consequential variable. Observers note that countries across Asia prefer "geopolitical stability, not democratic transformation" and seek good relations with both the United States and China regardless of their form of government, which limits how far the US can push a democracy-versus-autocracy framing in this region CNA[2022-10-29]. India, for its part, is cautious: there is "a significant degree of uncertainty and anxiety in India that Mr Trump ultimately believes in the possibility of negotiating a bilateral deal with China," feeding fears about a "G2" compact that could damage Indian interests in South Asia and the Indian Ocean Region CNA[2025-03-13].

Part I — The India-China Bilateral: Thaw and Persistent Tension

Cautious Engagement After Years of Friction

After years of tension following the 2020 LAC standoff, India and China moved toward cautious re-engagement. Indian Prime Minister Narendra Modi travelled to China in late August 2025 to attend the Shanghai Cooperation Organisation summit in Tianjin, where he met Chinese President Xi Jinping for bilateral talks — described as "already an important breakthrough in China-India relations" by analysts, though major bilateral breakthroughs were considered unlikely CNA[2025-08-29]. Modi did not stay on for China's World War II victory parade, a decision that "underscores the delicacy of India's balance" CNA[2025-08-29].

India's strategic elite are aware of the military asymmetry. India is "keen to preserve balance with China in the Indo-Pacific region," recognising that "China is a much stronger military power with a significant presence in the Western Pacific and the Indian Ocean." The calculus is transactional: by maintaining distance from the South China Sea — which Beijing considers a strategic backyard — India hopes Beijing will respect India's sphere of influence in the Indian Ocean CNA[2023-07-18]. India has grown its maritime presence incrementally, including naval forays and operational exercises in the Western Pacific, while remaining a "firm proponent of a rules-based maritime order" CNA[2023-07-18].

China's Belt and Road Initiative

China's Belt and Road Initiative, unveiled in 2013, aims to build infrastructure and trade links across Southeast Asia, Central Asia, the Middle East, and beyond CNA[2018-04-11]. In South Asia specifically, Chinese investment in Sri Lanka raised "fears in New Delhi about Beijing's influence," with analysts noting that half of all world sea trade passes through the east-west shipping route and "a presence at a mid-way point along that gives China a commanding position" CNA[2013-08-07]. Chinese leadership has

pushed back against characterisations of the BRI as a geopolitical instrument: Xi Jinping said the initiative "is not a Chinese plot" CNA[2018-04-11], and analysts in Beijing argued that Chinese investment in Pakistan "is not aimed at countering US and Indian influence, but more about boosting China's economic interests" CNA[2015-05-02].

Part II — China, Pakistan, and the Indian Ocean

China's Strategic Interest in Pakistan's Naval Capacity

China's supply of Hangor-class stealth submarines to Pakistan has drawn significant analytical attention. China's goal in supplying these vessels "may be to distract India in the race for dominance over the Indian Ocean," with the arrangement serving China's broader interest in securing its Indian Ocean presence CNA[2024-06-24]. The India-Pakistan relationship remains deeply adversarial; commentary from RSIS noted that the "relationship remains toxic — perhaps irreversibly so if any suggestion of dialogue seen as almost traitorous" CNA[2026-04-17]. India-Pakistan tensions escalated sharply in 2025, with the conflict having potential consequences for global food supply chains and for countries that rely on Indian rice exports CNA[2025-05-07].

Pakistan-Afghanistan Border Instability

Pakistan's western frontier remains a source of instability. Pakistan and Afghanistan agreed to a temporary ceasefire in October 2025 after fresh fighting and a Pakistani air strike along the border CNA[2025-10-15]. The Taliban's ability to sustain its insurgency in Afghanistan was previously linked by Afghan President Ashraf Ghani to sanctuary in Pakistan: Ghani said the Taliban "would not survive a month if it lost its sanctuary in neighbouring Pakistan" CNA[2016-12-04]. Russia, following the US withdrawal from Afghanistan, was focused on longstanding security threats — terrorism and the drug trade — and opposed any Western military presence in Central Asia after the withdrawal CNA[2021-07-19].

Part III — The Smaller States and Their Strategic Navigation

The Maldives: Balancing Between India and China

The Maldivian archipelago, "known for" its geopolitical position in the Indian Ocean, is navigating "a complex landscape, balancing economic opportunities with political pressures" as major powers compete for influence CNA[2024-07-09]. The Maldives has oscillated between India and China across successive governments, with each swing reflecting both domestic politics and the offer of development finance from competing patrons.

Bangladesh: Stability as a Regional Precondition

Bangladesh's internal stability has direct consequences for India's northeast. India's challenge is that "developing the potential of its northeast as a bridge to mainland Southeast Asia requires a stable Bangladesh" CNA[2025-12-26]. Bangladesh is also culturally and geographically close to India's northeast, "vulnerable to interference from groups in Myanmar, and claimed in part by China" CNA[2025-12-26]. USAID data shows that Bangladesh's World Bank financing was five times that of USAID in 2023, indicating that US development assistance, while present, is not Bangladesh's primary external financial relationship CNA[2025-03-27].

SAARC and the Limits of Regional Integration

South Asian regional cooperation through SAARC has remained constrained. The 18th SAARC Summit in Nepal adopted "Connectivity for Shared Prosperity" as its theme — signalling aspirations for deeper

regional connectivity — but the India-Pakistan antagonism at the core of SAARC has prevented the kind of chemistry that characterises ASEAN: "ASEAN meetings mean that they meet all the time, they know each other, they play golf with each other. It's a different chemistry" CNA[2025-05-21]. ASEAN's Economic Community envisions deeper integration; South Asia has no equivalent functioning architecture CNA[2025-05-21].

Part IV — India's External Partnerships

India-Singapore: Building Strategic Depth

India is seeking out strategic partners beyond the great powers. Commentary from RSIS emphasised that it is "crucial for India to seek out strategic partners like Singapore," with countries having "fresh impetus to push back against seeing the world in binary choices" CNA[2025-10-06]. India's engagement with Singapore reflects a broader effort to build diplomatic relationships that provide strategic depth without requiring alignment with either Washington or Beijing.

India and Russia: Preventing Strategic Entrenchment

India's engagement with Russia — including Modi's 2024 visit — was interpreted as an effort to keep Russia from being entirely absorbed into China's orbit. Analysts argued that "it's important not to have Russia pushed totally into the Chinese basket," and some believed Russia was attempting to help India de-escalate tensions with China CNA[2024-07-12]. The appointment of former Indian ambassador to China Vikram Misri as India's new foreign secretary was read as a sign that India may be keen to reset bilateral relations with Beijing CNA[2024-07-12].

Conclusion: South Asia's Contested Centre

South Asia remains a region where the India-China bilateral relationship is the most consequential strategic variable, and where smaller states navigate between competing patrons to maximise development financing and political leverage. India's strategic posture — expanding maritime presence, cautiously re-engaging China at the diplomatic level, building partnerships with Singapore and others, while maintaining a strategic role for Russia — reflects a determined effort to preserve autonomy rather than subordinate itself to either pole of the US-China competition.

The India-Pakistan antagonism remains the primary obstacle to South Asian regional integration, preventing the kind of trust-building that has made ASEAN functional. Until India and Pakistan find a way to coexist, South Asia "can't unite" CNA[2025-05-21] — and the structural conditions for great-power competition to exploit will persist.

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